

DEPARTMENT OF LABOR AND EMPLOYMENT

Division of Family and Medical Leave Insurance

REGULATIONS CONCERNING PREMIUMS AND INDIVIDUALS ELECTING COVERAGE

7 CCR 1107-1

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

1.1 Statements of Authority, Purpose, and Incorporation by Reference

1. This regulation is adopted pursuant to the authority in section C.R.S. § 8-13.3-501 et seq. and is intended to be consistent with the requirements of the State Administrative Procedures Act, C.R.S. § 24-4-101 et seq. (the "APA"), and the Paid Family and Medical Leave Insurance Act, C.R.S. § 8-13.3-501 through 524 (the "FAMLI Act").
2. The general purpose of these rules is to exercise the authority of this Division to enforce and implement the Paid Family and Medical Leave Insurance Act (C.R.S. § 8-13.3-501 et seq.) with regard to premiums and individuals electing coverage.
3. 7 CCR 1103-1 (2025) and U.S. Department of Labor, Unemployment Insurance Program Letter No. 20-04 (May 10, 2004) are hereby incorporated by reference. Earlier versions of such laws and regulations may apply to events that occurred in prior years. Such incorporation excludes later amendments to or editions of the statutes and regulations. These statutes and regulations are available for public inspection at the Colorado Department of Labor and Employment, Division of Family and Medical Leave Insurance, 707 17th Street, Denver, CO 80202. Copies may be obtained from this Division at a reasonable charge, or can be accessed electronically from the website of the Colorado Secretary of State. Pursuant to C.R.S. § 24-4-103(12.5)(b), the agency shall provide certified copies of the statutes and regulations incorporated at cost upon request or shall provide the requestor with information on how to obtain a certified copy of the material incorporated by reference from the agency originally issuing the statutes. All Division Rules are available to the public at famli.colorado.gov.
4. If any part of these rules is held invalid, the remainder shall remain valid, and if any part is held not wholly invalid, but in need of narrowing, it will be retained in narrowed form.

1.2 Definitions and Clarifications

1. Unless otherwise indicated, terms used here that are defined in the FAMLI Act have the same definition as they do under the FAMLI Act.

2. “Calendar Quarter” has the same definition as C.R.S. § 8-70-103(6).
3. “Gross income from self-employment” means all gross income derived by an individual from any trade or business carried on by such individual, as reportable on IRS Schedule SE, plus all payments the individual receives from their trade or business that are reportable on IRS Form W-2 or Schedule E Part II, Section 28, including but not limited to S corporation earnings.
4. “Individual electing coverage” means either an employee of a local government that has declined participation in the family and medical leave insurance program or a self-employed person, who elects family and medical leave insurance coverage pursuant to C.R.S. § 8-13.3-514.
5. “My FAMLI+ Employer” means the online portal through which employers and individuals electing coverage will interact with the FAMLI Division. Activities completed through this portal include, but are not limited to, electing coverage, declining coverage, reporting wages, remitting premiums, receiving important information for tax compliance, and maintaining their accounts pursuant to the FAMLI Act and its implementing regulations.
6. “Premium” is defined as the money payments required pursuant to C.R.S. § 8-13.3-507 to finance the payment of family and medical leave insurance benefits and administer the family and medical leave insurance program.
7. “Self-employed person” or “self-employed individual” means a Colorado resident who either: (1) carries on a trade or business as a sole proprietor or an independent contractor; (2) is a member of a partnership that carries on a trade or business; or (3) is otherwise in business for himself or herself (including a part-time business or a “gig worker”). An individual who does not meet the FAMLI Act’s two-prong exception to the definition of “employee” at C.R.S. § 8-13.3-503(7) is not a self-employed person or individual. The Division will presume that an individual is not self-employed with regard to any business of which they own less than twenty-five (25) percent. An individual can overcome this presumption by proving that they are primarily free from control and direction in the performance of the labor or services, both under the individual's contract for the performance of the labor or services and in fact, and are customarily engaged in an independent trade, occupation, profession, or business related to the labor or services performed.
8. “Tax transcript” means a full copy of the individual's “record of account transcript” from the Internal Revenue Service (“IRS”).

9. “Wages” as used in the FAMLI Act and its implementing regulations means “gross wages,” and includes monetary compensation described by C.R.S. § 8-4-101(14)(a), employer-provided paid leave pursuant to 7 CCR 1107-4 Section 4.2.2., and leave from a separate bank of time off solely for the purpose of paid family and medical leave as described by 7 CCR 1107-4 Section 4.2.5., if such leave is paid to the employee by the employer and not by a third party. “Wages” does not include compensation described by C.R.S. § 8-4-101(14)(b), compensation described by C.R.S. § 8-4-103(3), or any non-monetary payment except for the portion of any non-monetary payment used as credit toward the minimum wage pursuant to 7 CCR 1103-1 Sections 6.2.1 and 6.2.2. “Wages” for self-employed individuals who elected coverage means “gross income from self-employment” as defined in these rules.
10. Throughout the FAMLI Act and its implementing regulations, unless otherwise stated, entities that are employers and have different Federal Employer Identification Numbers (“FEIN”) are different employers with separate rights and obligations. This does not impact the ability of private plan administrators to report aggregate data pursuant to 7 CCR 1107-5, Section 5.12.

1.3 Individuals Electing Coverage

1. Individuals electing coverage may elect coverage under C.R.S. § 8-13.3-514 for an initial period of coverage of three years.
 - A. The individual electing coverage must create a My FAMLI+ Employer account and must submit their notice of election of coverage via My FAMLI+ Employer. For self-employed individuals, the notice of election must include a copy of their most recent tax transcript, as well as copies of any IRS Form W-2 issued to the individual by the individual’s business or businesses for the same tax year reflected by the tax transcript. No communication from a self-employed individual will constitute a notice of election without the required tax transcript and W-2 forms.
 - B. Elective coverage becomes effective on the date the individual files the notice of election, and not sooner. While elective coverage does provide for leave for a qualifying condition, it does not guarantee an award of wage replacement benefits. Benefits calculations are limited by the FAMLI Act and its implementing regulations, including but not limited to multi-employer scenarios described by C.R.S. § 8-13.3-506(2), leave thresholds described by C.R.S. § 8-13.3-505(3), the definition of “wages subject to premiums” at 7 CCR 1107-3, Section 3.2, and average weekly wage calculations pursuant to 7 CCR 1107-3, Section 3.5.
 - C. A period of coverage is a minimum of:

1. Three years following the date that the individual files the notice of election, and ends on the effective date of a notice of withdrawal. No period of coverage may be shorter than three years, regardless of whether an individual has had a prior period of coverage. A period of coverage beyond three years will continue indefinitely unless the covered individual submits a notice of withdrawal.
- D. Any individual who has elected coverage may file a notice of withdrawal at any time.
- E. The notice of withdrawal must include an effective date of the withdrawal, which must be no sooner than both the end of the coverage period and thirty days after the filing of the notice of withdrawal.
- F. A notice of withdrawal from coverage must be submitted to the Division online or in another format approved by the Division.
- G. Upon termination of coverage, due and unpaid premiums must be paid, as well as any interest or fines assessed.
- H. Throughout a period of coverage, individuals electing coverage as a self-employed individual, and individuals electing coverage as an employee of a local government that has declined participation pursuant to C.R.S. § 8-13.3-522, must report wages, pay premiums, and otherwise comply with the FAML I Act and its implementing regulations. This includes submitting wage reports for quarters in which no relevant wages are paid and submitting documentation as required by the FAML I Act, its implementing regulations, or the Division. Premiums liability for individuals electing coverage is limited to wages paid to the individual during the elective coverage period, and the Division may not hold any wages paid to an individual outside of their coverage period to be subject to premiums. Wages paid outside of the elective coverage period are not “wages subject to premiums” as defined in 7 CCR 1107-3, Section 3.2, and shall not be used to calculate benefits.
- I. If, during a period of coverage, an individual becomes no longer employed by a local government that has declined participation pursuant to C.R.S. § 8-13.3-522, or becomes no longer self-employed in Colorado, their coverage period does not end, and they must still comply with the FAML I Act and its implementing regulations with regard to elective coverage. However, they may contact the Division and request a waiver of their quarterly wage reporting obligations, and the Division in its sole discretion may grant the waiver. The Division may revoke the waiver at any time.

- J. Awards of paid family and medical leave with a benefit start date occurring during a period of coverage will be paid through the duration approved or until a recertification is required, regardless of the date that the period of coverage ends.
- 2. Provisions specific to self-employed individuals electing coverage:
 - A. Starting with the second calendar quarter of 2025, self-employed individuals must submit supporting documentation with their quarterly wage reports except for quarters in which they receive no gross income from self-employment. The supporting documentation must substantiate the amount of wages reported. Supporting documentation may include bank account statements, invoices, pay statements, reports, receipts, or other relevant documentation. Wage reports without supporting documentation may be considered untimely and subject to fines.
 - B. If the documentation submitted does not clearly support the reported wages, or if other information available to the Division undermines the reliability of the reported wages, then the Division may revise the wage amount to reflect the Division's reasonable estimate of gross income from self-employment. A reasonable estimate may be, but is not limited to:
 - 1. A prior quarter's wages; or
 - 2. A prorated amount of gross income from self-employment reflected by the individual's tax transcripts and W-2 forms.
 - C. If the Division revises a wage amount pursuant to Section 1.3.2.B above, and the self-employed individual wants to challenge that revision, they must first request a reconsideration of that revision within forty-nine (49) days of the date of the revision. The deadline to request a reconsideration may be extended by up to a maximum of forty-nine (49) days for good cause. The self-employed individual may appeal the outcome of the reconsideration pursuant to 7 CCR 1107-9.
 - D. In addition to the tax transcript required in the notice of election, a self-employed individual electing coverage must annually submit to the Division the prior year's tax transcript and W-2 forms by December 1, if the self-employed individual had coverage during the prior tax year.
 - 1. If the transcript and W-2 forms—prorated as appropriate—show a total amount of gross income from self-employment that is lower than the total the self-employed individual reported for that year, then the Division may evenly decrease each of that year's quarterly wage reports proportionate to the difference and adjust premium obligations and benefits payments accordingly.

2. If the transcript and W-2 forms—prorated as appropriate—show a total amount of gross income from self-employment that is higher than the total the self-employed individual reported for that year, then the self-employed individual may request the Division to evenly increase each of that year's quarterly wage reports proportionate to the difference and adjust premium obligations and benefits payments accordingly. Such a request must be received by December 1 of the following year. The Division may increase quarterly earnings pursuant to this rule regardless of whether it received a request to do so.
 3. If the self-employed individual fails to submit complete and accurate tax transcripts and W-2 forms by December 1 as required by these rules, then the Division may:
 - a. Remove their gross income from self-employment from any active claim;
 - b. Exclude gross income from self-employment from new claims for the entire period of time the tax transcripts and W-2 forms are due and absent; and
 - c. Assess a fine against the individual in an amount up to \$500.00.
 4. If the Division imposes a consequence described in Section 1.3.2.D.3 above, it shall withdraw that consequence if it receives the required tax transcripts and W-2 forms by December 1 of the following year.
3. All individuals electing coverage must report wages and remit premium payments quarterly, no later than the last day of the month immediately following the end of the calendar quarter for which the premiums have accrued. The Division may require additional information or documentation from any individual electing coverage in order to determine or verify wages or other information.

1.4 Premiums

1. Premiums must be paid not less than quarterly in the form and manner determined by the Division. Quarterly payments must include all premiums with respect to wages paid during the calendar quarter.

2. Premiums must be paid no later than the last day of the month immediately following the end of the calendar quarter for which the premiums have accrued. Payment will be considered timely if postmarked or received electronically on or before the due date. If the due date of premiums falls on a Saturday, Sunday, or legal holiday, payment will be considered timely if postmarked or received in person or electronically on the next business day. If an employer or an individual electing coverage wants to challenge a premiums assessment, they must first request a reconsideration of that determination within forty-nine (49) days after the due date. The deadline to request a reconsideration may be extended by up to a maximum of forty-nine (49) days for good cause. The employer or individual electing coverage may appeal the outcome of the reconsideration pursuant to 7 CCR 1107-9.
3. If an individual electing coverage owes unpaid premiums, fines, penalties, or interest to the Division, the Division may recoup that amount via benefits offset.
4. If, as a result of an incorrect notification or computation by the Division of premiums due, an employer is required to make an additional payment of premiums, such additional payment will not accrue interest until thirty days after notification by the Division that such additional payments are due.
5. Unless stated otherwise by exemption:
 - A. The first premium payment of any person or entity that becomes an employer subject to C.R.S. § 8.13.3-501 et seq., at any time during a calendar year must be paid on or before the last day of the month immediately following the calendar quarter in which such person or entity becomes an employer.
 - B. Said payment must include premiums with respect to wages paid beginning the first day the person or entity becomes an employer.
6. An employer required to remit premiums pursuant to C.R.S. § 8-13.3-507 may not deduct more than the maximum allowable employee share of the premium from wages paid for a pay period. If an employer deducts more than the amount authorized by the FAMLI Act and its implementing regulations, the Division may assess a fine of up to \$25.00 per employee per instance. Such excessive deductions also constitute a violation of C.R.S. § 8-4-105. If the Division issues a written determination concluding that the employer deducted more than the amount authorized by the FAMLI Act and its implementing regulations, such a determination may constitute a written demand pursuant to C.R.S. § 8-4-101(15).

- A. If an employer fails to deduct the maximum allowable employee share of the premium from wages paid for a pay period, the employer is considered to have elected to pay that portion of the employee share under C.R.S. § 8-13.3-507, and the employer cannot deduct this amount from a future paycheck of the employee for a different pay period. However, where there is a lack of sufficient employee wages to cover the employee share of premiums for a pay period, the employer may deduct the uncollected portion of the employee share from one or more paychecks for future pay periods.
 - B. In the payment of any premiums to the Division, and in the collection of any premium contributions from an employee, a fractional part of a cent will be disregarded unless it amounts to one-half cent or more, in which case it will be increased to one cent.
- 7. Premium payments to the Division will be applied in the following order, starting with the oldest quarter to the most recent past calendar quarter in which a balance is owed:
 - A. Fines;
 - B. Fees;
 - C. Interest; and
 - D. Premiums.
- 8. If the Division receives payment in an amount that exceeds the total of any premiums, fines, interest, or other debt owed to the Division, then the Division will notify the payor and:
 - A. If the amount in excess is less than \$50.00, it will be credited to future payments due; and
 - B. If the amount in excess is \$50.00 or more, it may be refunded to the employer at the employer's request. Otherwise, it will be credited to future payments due.
- 9. If an employer or an individual electing coverage fails to remit premiums by the due dates described in these rules, the Division may assess upon the employer or individual a fine of up to \$50.00 per individual whose premiums were not timely paid.
- 10. Premiums will not be required for wages, including wages from self-employment, above the limit described by C.R.S. § 8-13.3-507(6).

11. If the Division issues a reimbursement of premiums to an employer, the employer must return to its employees any portion of the reimbursed amount that it collected from its employees. If the employer fails to do so within sixty (60) days of a reimbursement of premiums, the Division may assess a fine against the employer in an amount up to \$50.00 per employee owed a reimbursement, per day that the employer fails to do so.

1.5 Calculating Employer Size

1. For determining employer size for the purpose of determining premium liability pursuant to C.R.S. § 8-13.3-507(5), an employee counts toward the total number of employees if they are employed in any state of the United States, the District of Columbia, or any territory or possession of the United States during 20 or more workweeks in the preceding calendar year. A person is considered “employed” during a workweek for the purpose of determining premium liability if: (1) they perform any work for the employer during the workweek; or (2) they are on any type of paid or unpaid leave during the workweek, and the employer has a reasonable expectation that the employee will later return to active employment, including any protected military leave.
2. An employer's size for purposes of this rule will be calculated upon registration with the My FAMLI+ Employer portal and annually thereafter during the first calendar quarter of the year. It is the employer's responsibility to notify the Division of its size upon registration and annually thereafter, and if the employer fails to do so, the Division may presume that the employer has ten or more employees. The FAMLI Division may, on its own initiative, determine an employer's size based on a preponderance of evidence. If the Division changes an employer's size pursuant to this rule, it shall notify the employer. Any Division decision regarding an employer's size constitutes a determination, and the effective date of that determination is the date that additional premiums associated with that change are due. An employer may request a reconsideration of such a change pursuant to Section 1.4 of these rules. The Division will not adjust an employer size based on fluctuations throughout the year.
3. If the Division determines the employer's status has changed as it relates to premium liability, the Division will notify the employer as to their premium liability.

1.6. Colorado Localization of Employees

1. An employee is localized to Colorado, and their wages will be subject to premiums, if
 - A. The employee's entire service is performed within Colorado;
 - B. The employee's service is performed both within and outside of Colorado, but the service performed outside the state is incidental to the employee's work within Colorado or, for example is, temporary or transitory in nature and consists of isolated transactions; or

- C. Services are not localized in any state, but some of the services are performed in Colorado, and
 - 1. The employee's base of operations is in Colorado, or if the employee has no base of operations, then the place from which such services are directed or controlled is in Colorado as established in C.R.S. § 8-70-117, or
 - 2. The employee's base of operations, or place from which some part of the service is directed or controlled by the employer is not in any state in which part of the service is performed, but the employee's residence is in Colorado.
- 2. An employer who has paid to another jurisdiction an amount as premiums properly payable to Colorado will not be delinquent if premiums properly payable to Colorado are paid within thirty days of the date on which the Division determines that such premiums are payable to Colorado.
- 3. Services are performed where the worker is physically located. For example, if an individual works from their Colorado home for a Nevada employer, the work is performed in Colorado.
- 4. In determining whether an employee is localized to Colorado, the Division is guided by Unemployment Insurance Program Letter No. 20-04 and its attachments, issued by the United States Department of Labor's Employment & Training Administration on May 10, 2004.
- 5. An employee's status as a military spouse has no impact on an employee's localization under these rules.

1.7 Assessments and Recomputations of FAMI Premiums

- 1. If the report of wages included in an employer's premium report is incomplete or in error, the Division may require a further report, may examine the employer's relevant books and records, or may use other reasonable measures to the extent necessary to obtain an accurate report.
- 2. If an employer is delinquent in filing a wage report within the time prescribed by the Division, or fails to provide the Division with additional records needed to make a proper determination of an amount of indebtedness, the Division may, in its discretion:
 - A. Use the information and knowledge available to the Division to estimate the wages paid by an employer during the premium period or periods. The amount of wages so determined will be deemed to have been paid by the employer;

- B. Assess the employer for premiums calculated on the basis of the estimated wages; and
 - C. Issue a subpoena duces tecum to compel an employer to release books and records to the Division for use in obtaining the required information.
- 3. The Division will notify an employer who is delinquent in filing reports or paying premiums by sending a determination letter to the employer's correct address. Any outstanding premiums past due shall accrue interest pursuant to C.R.S. § 5-12-102.
- 4. The Division may correct errors of computation whenever such erroneous computations are found or brought to the Division's attention.

Editor's Notes

History

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